



Jumbo 5/6, 7/6 & 10/6 SOFR ARMs

PRIMARY RESIDENCE – PURCHASE & RATE/TERM REFINANCE

Property Type	Maximum ¹ LTV	Maximum ¹ CLTV/HCLTV	Maximum ¹ Loan Amount	Minimum Credit Score
1-Unit PUD Condo	89.99%	No Subordinate Financing	\$800,000	700
			\$1,000,000	720
	80%	80%	\$1,500,000	700
	75%	75%	\$2,000,000	700
1-Unit PUD	70%	70%	\$2,500,000	720
	70%	70%	\$3,000,000	740
	60%	60%	\$3,500,000	740
2-Unit ²	55%	55%	\$4,000,000	740
	65%	65%	\$1,000,000	700
	60%	60%	\$1,500,000	720

PRIMARY RESIDENCE – CASH-OUT REFINANCE³

Property Type	Maximum ¹ LTV	Maximum ¹ CLTV/HCLTV	Maximum ¹ Loan Amount	Minimum Credit Score
1-Unit PUD Condo	80%	80%	\$1,000,000	700
	75%	75%	\$1,500,000	720
	70%	70%	\$2,000,000	720
	60%	60%	\$2,500,000	720

SECOND HOME – PURCHASE AND RATE/TERM REFINANCE

Property Type	Maximum ¹ LTV	Maximum ¹ CLTV/HCLTV	Maximum ¹ Loan Amount	Minimum Credit Score
1-Unit PUD Condo	75%	75%	\$1,000,000	720
	70%	70%	\$1,500,000	
	65%	65%	\$2,000,000	
	50%	50%	\$2,500,000	

1. Virgin Island properties limited to 65% maximum LTV/CLTV and \$1,500,000.00 maximum loan amount.
2. Virgin Island 2-unit properties limited to 60% maximum LTV/CLTV.
3. Refer to Cash Out Refinance section for cash out limits.

PROGRAM SUMMARY

The Jumbo product is a mortgage loan program offering ARM products allowing for jumbo loan balances.

PRODUCTS OFFERED

Product Name	Loan Term	ARM Disclosure
Jumbo 5/6 SOFR ARM	30 years	Doc. #3383 or Equivalent
Jumbo 7/6 & 10/6 SOFR ARM	30 years	Doc. #3384 or Equivalent

LOAN AMOUNTS

- Minimum: Conforming Loan Limits plus \$1
- Maximum: Refer to [Eligibility Grids](#) above.

CASH OUT REFINANCE

The maximum cash back to borrower includes non-mortgage debt to be paid off. Maximum cash out is determined by LTV:

LTV	Max Cash Out
> 55%	\$500,000
<= 55%	\$750,000

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines.

LTV	Coverage
85.01 – 89.99%	25%
80.01 - 85%	12%

- Loans must be underwritten by the MI carrier

NEW YORK PROPERTIES

See [Non-Agency Underwriting Guidelines](#).

Reduced MI is not available.

For Single Financed Mortgage Insurance (SFMI) and Lender Paid Mortgage Insurance (LPMI) eligibility see *Single Financed Mortgage Insurance – Lender Paid Mortgage Insurance*, [Doc. #5010](#).

MINIMUM CREDIT SCORE

Refer to [Eligibility Grids](#) above. No exceptions to credit score requirements.

QUALIFYING RATE

5/6 ARM	7/6 ARM & 10/6 ARM
Greater of the fully-indexed rate or Note rate plus 2%	Greater of the fully-indexed rate or Note rate

QUALIFYING RATIOS

Determined by Desktop Underwriter, not to exceed 45% debt-to-income ratio.

- Loans requiring mortgage insurance may require a lower DTI per mortgage insurer requirements.

RESERVES

Occupancy	Loan Amount	Required Reserves ⁴
Primary Residence	Up to \$850,000	3 months, verified PITIA
	\$850,001 – \$1,000,000	6 months, verified PITIA
	\$1,000,001 – \$1,500,000	9 months, verified PITIA
	\$1,500,001 – \$2,000,000	12 months, verified PITIA
	\$2,000,001 - \$4,000,000	24 months, verified PITIA
Second Home	Up to \$850,000	6 months, verified PITIA
	\$850,001 – \$1,000,000	12 months, verified PITIA
	\$1,000,001 – \$1,500,000	18 months, verified PITIA
	\$1,500,001 – \$2,500,000	24 months, verified PITIA

4. When borrowers have financed properties in addition to the subject property, an additional 6 months PITIA reserves are required for each property.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or their affiliates, or any other party with an interest in the real estate transaction. Interested party contributions may only be used for closing costs and prepaid expenses, and may never be applied to any portion of the down payment.

CLTV/HCLTV	IPC Allowance
> 80%	3%
≤ 80%	6%

ELIGIBLE BORROWERS

In addition to eligible borrowers as addressed in the Non-Agency guides:

- Non-Occupant co-borrower, subject to the following conditions:
 - Primary Residence – 1 unit only
 - Purchase & Rate/Term only
 - Non-Occupant CB is a relative of the Occupant borrower. A relative is defined as the borrower's parent, spouse, child or other dependent or by any other individual who is related to the borrower by blood, marriage, adoption or legal guardianship; or a fiancé, fiancée or domestic partner
 - A minimum of 5% of the down payment must come from the Primary (occupant) Borrower's own funds.
 - Max LTV/CLTV 80%
 - Minimum 700 Credit Score
 - Arm's length transactions only (no relationship to seller or builder)

MINIMUM BORROWER CONTRIBUTIONS

Borrower must contribute at least 5% from their own funds for purchase transactions greater than 80% CLTV.

APPRAISAL REQUIREMENTS

All appraisals will be reviewed by the Appraisal Review Department.

Loan Amount	Appraisal Requirement
≤ \$2,000,000	One Full Appraisal
> \$2,000,000	Two Full Appraisals
Virgin Island Properties	Two Full Appraisals due to lack of availability to obtain CDA
All properties in which the seller purchased property within 90 days of the fully executed purchase contract.	Two Full Appraisals • Seller on purchase contract must be the owner of record • Increases in value must be documented with commentary from the appraiser and recent paired sales

UNDERWRITING

Guidelines not addressed below must meet the parameters documented in the *Non-Agency Underwriting Guidelines*. Product specific criteria may vary from the guidelines only as indicated below.

- Desktop Underwriter (DU) submission applies to all transactions.
 - DU Approve/Eligible response for loan amounts between the applicable conforming and High Balance loan limits based on county and property type
 - DU Approve/Ineligible response for loan amounts above the applicable conforming or High Balance loan limit for the county and property type; Ineligible due to loan amount only.
- Loan must meet all Ability to Repay requirements.
 - Requirements per the Non-Agency Guidelines for Income and Liabilities must be met, regardless of DU findings.

TRADELINE REQUIREMENT

The credit report(s) must meet one the following tradeline requirement:

- 2 tradelines with a minimum 12-month history or
- 1 tradeline with a minimum 12-month history and a 12-month housing reference.

MORTGAGE/RENT HISTORY REQUIREMENTS

Mortgage and/or rent histories must adhere to the Non-Agency guideline requirements

DEROGATORY CREDIT

Significant derogatory credit will follow DU findings with the exception of Chapter 13 bankruptcies and loan modifications:

- Chapter 13 bankruptcies discharged or dismissed will require 4-year seasoning from the discharge or dismissal date
- Loan modifications will require 7-year seasoning from the modification date
- Reduced seasoning due to extenuating circumstances is not permitted

ESCROW HOLDBACKS

Escrow holdbacks are allowed on purchase transactions of new construction properties only. The builder must be the seller.

Escrows are allowed if the incomplete items do not affect the marketability, safety, livability, soundness, or structural integrity of the property. The appraiser must provide the "as completed" value as the appraised value.

Postponed improvements can be escrowed if:

- The items are part of the builder's sales contract (third-party contracts are not permissible);
- The items are postponed for a valid reason, such as inclement weather or a shortage of building materials;
- The establishment of an escrow does not impair or adversely affect the mortgage or title insurance during the completion period;
- The items do not affect the ability to obtain a certificate of occupancy.

AMOUNT AND LENGTH OF ESCROW

- An escrow account equal to 120% of the estimated costs for completing the postponed improvements and/or repairs must be withheld from the Loan proceeds. However, if the contractor or builder can guarantee a fixed-price contract for the improvements and/or repairs it is acceptable to use the contract price for the escrow amount.
- The cost to complete the postponed improvements and/or repairs must not be greater than 10% of the "as completed" appraised value.
- Incomplete items must be completed within 180 days of the date printed on the Note.

DOCUMENTATION REQUIREMENTS

All of the following documents are required when an escrow account is set up:

- The appraiser must provide a list of the incomplete items; the appraiser or a disinterested (but relevant) party may provide a cost to complete the incomplete items.
 - An example of a disinterested (but relevant) party is a contractor/painter who provides an estimate to paint interior walls. A relevant party includes, but is not limited to, a representative of a home improvement store or an independent contractor that performs the services needed to complete the improvements.
- Escrow Holdback Agreement, Doc. #3656 must be fully completed and executed.
- A clear final inspection to be obtained at completion of postponed improvements and/or repairs within the specified time frame.
- Final title report that does not show any outstanding mechanic's liens, take any exceptions to the postponed improvements or the escrow agreement. If the final title report is issued before the completion of the improvements, an endorsement to the title policy that ensures the priority of the Mortgage lien must be obtained.

Refer to the Flagstar Escrow holdback Procedures, Doc. #4634 for additional closing and funding requirements.

STATE ELIGIBILITY

Available with the following geographic restrictions:

State	Restriction
Puerto Rico	Not eligible

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/6 ARM Initial: 2% up/down; Subsequent: 1% up/down; Lifetime: 5% up
	7/6 ARM & 10/6 ARM Initial: 5% up/down; Subsequent: 1% up/down; Lifetime: 5% up
Margin	See Price Indication Sheet
Index	30 Day SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate floor is equal to the margin
Change Dates	5/6 ARM The first change date is the 60th payment due date. There is a new change date every 6 months thereafter.
	7/6 ARM The first change date is the 84th payment due date. There is a new change date every 6 months thereafter.
	10/6 ARM The first change date is the 120th payment due date. There is a new change date every 6 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web-Based Closing Docs (WBCD) service available on Loantrac.

ADJUSTABLE RATE LOANS

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Fannie/Freddie Note 3442
- Fannie /Freddie Rider 3142
- Standard title commitment with all applicable endorsements

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form #3140
- Fannie Mae/Freddie Mac Multi-state PUD Rider, Form #3150
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form #3170 (2-Unit primary residence)
- Fannie Mae-Freddie Mac multi-state Second Home Rider, Form #3890